

IN THE HONORABLE SUPREME COURT OF THE REPUBLIC OF LIBERIA,
SITTING IN ITS MARCH TERM, A.D. 2025

BEFORE HER HONOR: SIE-A-NYENE G. YUOH.....CHIEF JUSTICE
BEFORE HER HONOR: JAMESETTA H. WOLOKOLIE.....ASSOCIATE JUSTICE
BEFORE HIS HONOR: YUSSIF D. KABA.....ASSOCIATE JUSTICE
BEFORE HIS HONOR: YAMIE QUIQUI GBEISAY, SR.....ASSOCIATE JUSTICE
BEFORE HER HONOR: CEATNEH D. CLINTON-JOHNSON.....ASSOCIATE JUSTICE

Novomatic Gaming Industry GmbH, an Austrian)
Limited Liability Company, Weinerstrasse 158,)
2352 Gpoldskirchen, Austria by and thru its)
Attorney-In-Fact, Counsellor Benedict F. Sannoh)
of the City of Monrovia, Montserrado County,)
Republic of Liberia.....Appellant)

Versus

) APPEAL
)

Palm Spring Gaming Company, Tubman Blvd of)
the City of Monrovia, Montserrado County,)
Republic of Liberia.....Appellee)

GROWING OUT OF THE CASE:

Palm Spring Gaming Company, Tubman Blvd of)
the City of Monrovia, Montserrado County,)
Republic of Liberia.....Movant)

Versus

) MOTION TO DISMISS
)

Novomatic Gaming Industry GmbH, an Austrian)
Limited Liability Company, Weinerstrasse 158,)
2352 Gpoldskirchen, Austria by and thru its)
Attorney-In-Fact, Counsellor Benedict F. Sannoh)
the City of Monrovia, Montserrado County,)
Republic of Liberia.....Respondent)

GROWING OUT OF THE CASE:

Novomatic Gaming Industry GmbH, an Austrian)
Limited Liability Company, Weinerstrasse 158,)
2352 Gpoldskirchen, Austria by and thru its)
Attorney-In-Fact, Counsellor Benedict F. Sannoh)
of the City of Monrovia, Montserrado County,)
Republic of Liberia.....Plaintiff)

Versus

) ACTION TO RECOVER
) CHATTEL

Palm Spring Gaming Company, Tubman Blvd of)
the City of Monrovia, Montserrado County,)
.....Defendant)

Heard: November 18, 2025

Decided: May 28, 2025

MADAM JUSTICE CLINTON-JOHNSON DELIVERED THE OPINION OF THE COURT

The genesis of this case grows out of an agreement entered into and signed between the appellant, Novomatic Gaming Company (Novomatic) and the appellee, Palm Spring Gaming Company. The records certified before this Court reveals that on March 30, 2022, the appellant, Novomatic Gaming Company (Novomatic), a legally registered Austrian Corporation under the name Novomatic A.G filed an action to recover a chattel thru its Attorney-In-Fact, Counsellor Benedict F. Sannoh, against the appellee, Palm Spring Gaming Company of Tubman Boulevard, in which complaint, the appellant averred that Novomatic's Board of Directors authorized and empowered Counsellor Benedict Sannoh as its Attorney-In-Fact in a communication dated September 21, 2021 to institute an action of replevin on their behalf for the purpose of recovering chattels in the possession of the appellee; that the chattels in the possession of the appellee were 117 pieces of FV624 gambling machines, 117 pieces of FV830 gambling machines, servers for gambling machines and routers for gambling machines, totalling 234 pieces of gambling machines along with their routers and servers for the duration of 36 months commencing immediately after the installation of the machines and subject to terms and conditions as indicated in the lease agreement which were delivered to the appellee FOB destination at Palm Springs Hotel gaming on Tubman Boulevard pursuant to section 7 of the lease agreement, which states that the chattels shall remain the sole and exclusive property of the appellant and that the appellee shall have no rights or interest in the chattels leased, apart from the right to use it for its benefits on its premises (Palm Spring Hotel). Further, that under sections 3.1 and 3.3 of the lease agreement mandated the appellee to make payment for monthly participation fees for the chattels on or before the fifteen (15) day of the following month; and that the appellee was to make a monthly rental fee on the FV624 machines of 15% of the net win generated daily and on a flat rate of \$7 (Seven United States Dollars) daily on the FV830 machines, which payments the appellee failed or neglected to make, thereby allegedly breaching, defaulting on several agreements and obligations and failing to comply with the terms and conditions under the lease. Further that under section 14.2(b) of the lease agreement, the appellee waived all claims for damages which may be caused by appellant's re-entry and taking possession of the machines on their premises; that the appellee, as of March 30, 2021, was indebted to the appellant in the amount of US\$1,900,532.35 (One Million Nine Hundred Thousand Five Hundred Thirty-Two United States Dollars Thirty-Five Cent); that as a result of a joint inspection conducted by the parties, it was discovered that the appellee further breached the agreement when it moved the chattels to third parties' premises, to include: Riviera Amusement Center on Gurley

Street, Mainline Spin to Win on 16th Street and Afri-lodge on Carey Street, and that the machines that remained at the appellee premises caused serious risk of loss and damage because the machines were stored unwrapped in area of very high humidity, with water on the floor; and that as a result of all of the breaches, the appellant prayed the trial court for judgment against appellee/defendant.

Predicated upon the service of the writ of summons and complaint on the appellee, on April 14, 2022, the appellee filed a seventeen (17) count answer (which averments are not contained in this opinion as it is the motion to dismiss that the appealed was taken from and not the merits of the complaint) along with a motion to dismiss appellant's complaint. In its motion to dismiss, which is a crust of this appeal, the appellee strongly contended that the appellant was not authorized by Novomatic's board and as such lacked legal standing to institute this suit; and that in accordance to *section 15.15* of the agreement, the parties to the agreement agreed to submit to the laws of the Republic of Austria and that under *section 15.16 of said agreement, the parties had agreed to settle* disputes arising out of or in connection with the agreement under the rule of arbitration of the International Chambers of Commerce and that anything to the contrary will be violative of *Article 25 of the 1986 Constitution of the Republic of Liberia*; and that the appellant lacked standing to institute this suit because the Attorney-In-Fact was not authorized by Novomatic board of directors to institute this action, thereby rendering its power of attorney invalid. The appellee then prayed the court to deny the action to recover chattel and order appellant to restitute US\$450,000.00 (Four Hundred Fifty Thousand United States Dollars) participation fees and also restitute US\$59,000,000.00 (Fifty Nine Million United States Dollars) as loss income for shutting down of the jack-spot of the machines.

The appellant filed a reply to the appellee's answer and also filed his returns to the appellee's motion to dismiss, denying that it lacks standing to institute this suit, because it has sufficient stake or interest in this litigation due to fact the gaming machines are owned by Novomatic, leased to appellee, and that as attorney-In-Fact, he is acting in a representative capacity for Novomatic, who has the standing to institute this suit and on whose behalf a resolution of Novomatic's board of directors appointed he, Counsellor Benedict F. Sannoh, Managing Director of Sannoh & Partners to sue.

In his reply, as stated in his returns to appellee's motion to dismiss, the appellant denied the allegations contained in the appellee's answer that it lacked standing to institute this action because the appellant has sufficient stake in obtaining judicial resolution in protecting its tangible interest concerning its chattels; that the action to recover chattel in this litigation,

does not grow out of the dispute arising from the parties, as enshrined in section 15.16 of the lease agreement but rather that this action is not subject to the arbitration clause for the said clause reserve to the appellant to withdraw chattels from the premises of the appellee in the event of default, and that all claims arising therefrom, are deemed waived, pursuant to sections 14.2(b) of the lease agreement; that Novomatic board of directors thru a valid power of attorney had empowered or authorized its Attorney-In-Fact to institute this action to recover certain pieces of chattel in the possession of the appellee on their behalf; and that the appellee made an initial deposit of Four Hundred Fifty Thousand United States Dollars (US\$450,000.00) to the appellant for the shipment of the gaming machines to Liberia.

While the motion to dismiss was still pending final determination before the Sixth Judicial Circuit Court, there were several issues raised in the petition for the writ of prohibition by the Management of Afri-lodge, the Riviera Amusement Center and the Management of Mainland Spin, before the Justice in Chambers against His Honor J. Kennedy Peabody, Resident Circuit Judge, Sixth Circuit Judicial Circuit Court for Montserrat County; and Novomatic which was all determined before the motion to dismiss.

The trial judge, on the 19th of May A.D. 2022, ruled on the motion to dismiss the appellant's complaint, holding that the appellant lacked standing to institute this action because there is no showing of a board resolution issued to Counsellor Benedict F. Sannon by Novomatic, authorizing him to file the replevin action and that under *section 15.16 of said agreement, the parties had agreed to settle* disputes arising out of or in connection with the agreement under the rule of arbitration of the International Chambers of Commerce; and as such, the trial court is without jurisdiction in light of the undisputed fact that the parties have signed a lease agreement which contained an arbitration clause to be enforced under the law of Austria, and relied on the *Chicri Brothers, Inc. v. ISUZU Motors*, 40LLR128 (1988). The appellant noted exception to the trial court's ruling and announced an appeal to this Court *en banc*, and thereafter completed the appeal process.

The appellant thereafter filed its bill of exceptions in which he stated that the trial court's ruling of the motion to dismiss in the form and manner of a final judgment is not consistent with law and practice because the trial court overlooked and ignored a number of salient issues of both law and fact; that the trial court ruled solely on the grounds that appellant lacks standing and that the trial court also lack jurisdiction in the matter in the wave of the undisputed fact that the parties are bounded by an arbitration and governing law, which in the mind of the appellant, is a reversible error because the trial judge relied exclusively on the *Chicri Bros. Inc. v. Isuzu Motors* case, which according to him is not analogous to the

instant case; that the trial judge also committed reversible error when he ruled that appellant lacks the standing and capacity to sue in the absence of a board resolution without providing any basis for this conclusion especially when standing and capacity are separate and distinct principles of law; that a reversible error was further committed when the trial judge held that a board resolution was required even where a foreign corporation issued a power of attorney and cited no reliance in support of this conclusion.

Following the appellant's filing and subsequent approval of its bill of exceptions of May 30, 2022, the appellant, in fulfilment of its statutory obligation, in the perfection of the appeal process, on the 11th of July A.D. 2022, filed with the clerk of the trial court an appeal bond and notice of completion of appeal on the same date and time. On July 12, 2022, the date of the filing of the appellee's appeal bond and the notice of completion of appeal, the appellee filed with the clerk of the trial court a request for a clerk's certificate ascertaining whether the appellant filed its appeal bond containing an article of incorporation. The clerk of court, in response to the appellee's request for a clerk certificate, on the same day, same being July 12, 2022, issued to the appellee a clerk's certificate evidencing that the appellant appeal bond do not contain an article of incorporation. However, subsequently thereafter the issues of the sufficiency of the bond and the missing articles of incorporation of the sureties were determined and the appellant was required to file a new appeal bond.

We, in light of the contentions, claims and counter claims advanced by the parties in this matter before us, say that the only issue that is germane for determination on this matter on appeal is whether or not the trial judge erred when he dismissed the action to recover chattel based on the arbitration clause enshrined in the lease agreement, as it is a precedent that this Court is not bound to pass on all of the issues raised before it, but rather, those issue(s) that are key to the determination of the case. *In re: GEC Report on Complaint filed by Mr. Ballah v. Yargbo against Counsellor Samuel Pearson, Supreme Court Opinion, March Term 2024; Tom Harris v. David Woah, Supreme Court Opinion, March Term, 2024; Ministry of Foreign Affairs v. Sartee et al., 41 LLR 285 (2002).*

We answer in the negative considering section 15.16 of the lease agreement consummated by the parties, which states that "All disputes arising out of or in connection with the present agreement shall be finally settled under the Rules of arbitration of the International Chambers of Commerce by one arbitrator appointed in accordance with the said Rules. Except as the parties may otherwise agree in writing, the place of arbitration shall be Vienna, Austria and the proceedings shall be conducted in the English language."

In a litany of cases, to include *the Chicri Brothers v. Isuzu Motors*, 40 LLR 128, 134 & 137 (1988), Mr. Justice Morris speaking for the Court, with reference to the *Civil Procedure Law, Rev. Code 1:64.1*, held that "A written agreement to submit to arbitration any controversy existing at the time of the making of the agreement or any controversy thereafter arising is valid, enforceable without regard to the justiciable character of the controversy, and irrevocable except upon such grounds as exist for the revocation of any contract." See also, *Karen Maritime Ltd v Omar International, Inc.* 42 LLR 216 (2004); *Emirates Trading Agency Co v Global Import and Export Co*, 42 LLR 204 (2004); *Min of Lands, Mines and Energy v Liberty Gold and Diamond Co.* [2014] LRSC 5 (10 Jan 2014) *Berry v Intestate Estate of Bettie*, [2014] LRSC 8 (16 Jan 2014; and *Mawolo v Reeves*, [2010] LRSC 15 (14 Jan 2010). The law on arbitration binds parties to specific clauses that bind them to have their disputes resolve by choosing a designated venue, the rules and the language the parties may desire which are all in line with the Constitution and Statute Laws of Liberia.

In addition, the *Chicri Brothers'* case, on page 35, arbitration is defines as "An agreement to submit a dispute to arbitration under the law of a foreign state confers jurisdiction by consent which will be recognized either by the courts of the state of residence or the courts of the foreign state, or by the courts of a state in which the award resulting from the submission is sought to be enforced. Courts must give effect to freely negotiate forum selection clauses in arbitration agreements." 4 AM JUR 2d., *Alternative Dispute Resolution*, § 91, page 146. * Therefore, the parties in this litigation having consented under section 15.16 of the lease agreement to submit to arbitration in settling their disputes under the laws of Austria using the Rules of Arbitration of the International Chamber of Commerce to settle disputes arising out of or in connection with the said agreement in the English language. The agreement specifically stated that:

"All dispute arising out of or in connection with the present agreement shall be finally settled under the Rules of arbitration of the International Chambers of Commerce by one arbitrator appointed in accordance with the said Rules. Except as the parties may otherwise agree in writing, the place of arbitration shall be Vienna, Austria and the proceedings shall be conducted in the English language."; this said arbitration clause binds them and ousts the court of jurisdiction to determine this matter.

Furthermore, Article 25 of the 1986 Constitution of the Republic of Liberia guarantee the obligation of contracts consummated by the parties given the express consent thereto, which this Court, should at all times uphold, and that the Legislature shall not make laws to

impair the obligation of contracts. The Constitutional Court in this jurisdiction, same being the Honourable Supreme Court, which is endowed with the interpretation of the laws of Liberia, has interpreted the said constitutional provision and upheld in the litany of cases that *arbitration is a mode of settling differences through the investigation and determination, by one or more unofficial persons selected for the purpose of some disputed matter submitted to them by the contending parties for the decision and award, in lieu of a judicial proceeding. The object of the arbitration is the final disposition of differences between parties in, a faster, less expensive, more expeditious and perhaps less formal manner than is available in ordinary court proceedings*" 5 AM JUR 2d., *Arbitration and Award*, § 80, page 579.

We hold that when parties hold themselves by an expressed consent to resolve disputes arising out of that which may ensue in the future to arbitration, it binds the parties and courts of laws must always respect such constitutional obligation and contractual agreement, except upon such grounds as exist for the revocation of any contract.

WHEREFORE AND IN VIEW OF THE FOREGOING, the final ruling of the lower court is hereby affirmed. The Clerk of this Court is hereby ordered to send a Mandate to the court below commanding the judge presiding therein to resume jurisdiction over this case and give effect to this Judgment. Costs are ruled against the appellant. AND IT IS HEREBY SO ORDERED.

Affirmed

When the Case was called for hearing, Counsellor Benedict F. Sannoh of the Sannoh & Partners appeared for the appellant. Counsellor Alhaji Swaliho A. Sesay of the Sesay, Johnson and Associates Law Chambers appeared for appellee.